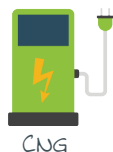


Availability of Substitutes



CNG



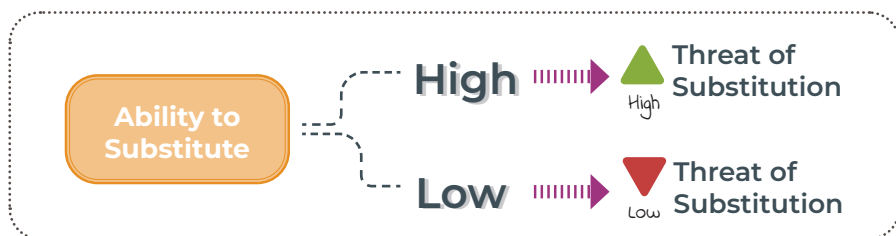
Petrol



Substitute Products

When close substitutes are available, the threat of substitution is highest. If the substitute offers even a slightly better value for the price paid, the customer will switch over.

Ability to Substitute



The ability of buyers to substitute products depends on the difficulty of the substitution. If the ability is high i.e. customer can switch easily, the threat of substitution is high, and the industry profits would be reduced. If high switching costs are involved, then threat of substitutes may go down.

Price Performance of Substitute Compared to Industry's Product

(Better price/Better performance/unfavourable)

The price performance of the substitute against the industry's product determines the threat of substitution and the value proposition strength of the product. The product with the stronger proposition gets accepted. The point is to figure out if the substitute is cheaper than the industry's product with a matching performance or if it performs better at the same price.



Pizza Hut



Domino's Pizza



Appeals to the Customer